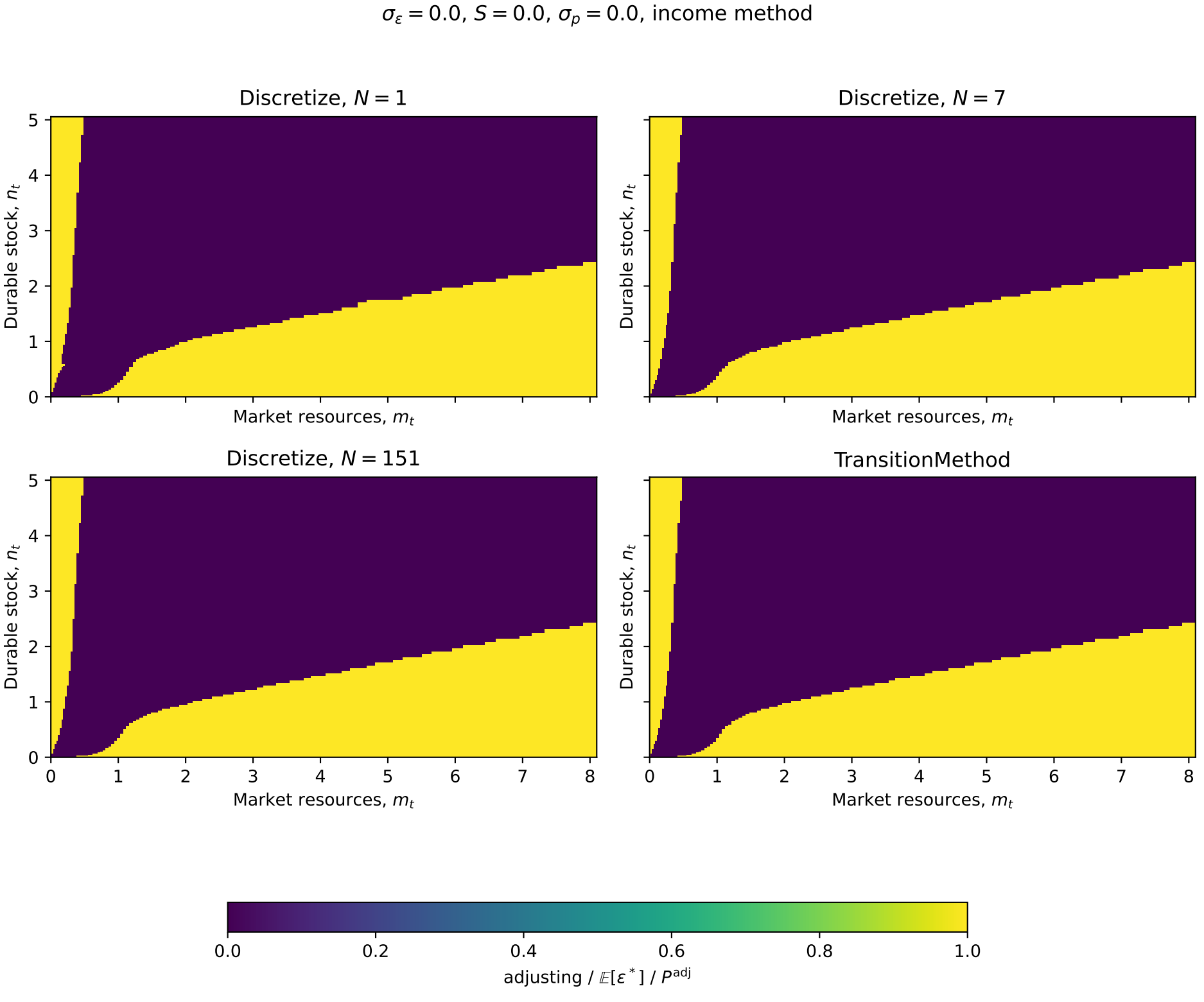

$\sigma_\varepsilon = 0.0$, $S = 0.0$, $\sigma_p = 0.0$, income method
Discretize, $N = 1$
Discretize, $N = 7$
Discretize, $N = 151$
TransitionMethod
Durable stock, n_t
Market resources, m_t
0
1
2
3
4
5
6
7
8
0.0
0.2
0.4
0.6
0.8
1.0
adjusting / $\mathbb{E}[\varepsilon^*]$ / P^{adj}